A PERSONAL BUDGET

There are many ways in which household spending can be curtailed in the pursuit of wealth – even the smallest changes can be significant when continued year after year, as any reduction in spending can be invested in savings. Setting and sticking to a budget will help meet savings goals. Other savings strategies include:

- **Setting financial goals**, such as buying a house or funding a masters' degree.
- **Drawing up a spending plan** for expenditures such as housing, food, transport, and debt repayments.
- **Monitoring budgets** weekly or monthly to keep track of spending.
- **Deciding on a percentage** of income to save each month, and setting up a direct debit for that amount to go straight into a savings account.
- **Finding cheaper accommodation**, or refinancing a mortgage to get a cheaper rate.
- **Comparing insurance rates** and switching to a cheaper insurer; reviewing deals from different energy suppliers to cut utility bills.
- **Shopping with a list** to eliminate impulse buys, and buying in bulk in order to take advantage of cheaper prices or sales.

Attitude to debt

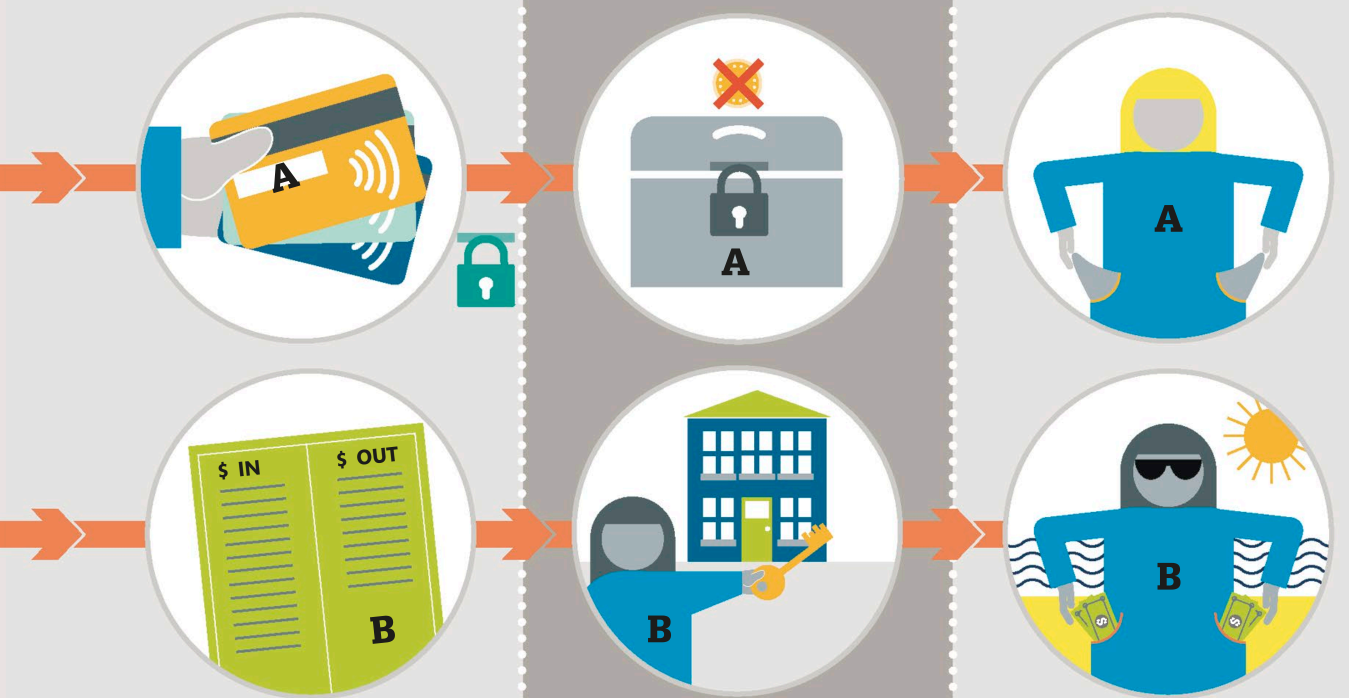
Because credit is easily available to high earners, **A** gets deep into debt.

Investment

Because her income is high, **A** doesn't feel the need to save for retirement.

Retirement

On retirement, **A** sees a dramatic drop in her income. Having no wealth to rely on, she spends her retirement in poverty.



B ensures that her outgoings are always lower than her income.

B uses some of her savings to invest in a house.

B enjoys comfortable retirement years.